

M/S New Mount Trading And Investment v. State of U.P. & 4 Others

Allahabad High Court · Division Bench · 27 January 2021 · Writ - C No. 17861 of 2020 · **Notice issued; connected with Writ-C No. 4545 of 2019; writ remains pending**

HEADNOTE

Where a builder-colonizer, first sanctioned 1900 KVA on multiple-point metering and later converted to 500 KW single-point supply under then-Clause 4.9(A), challenges KESCO demand notices for conversion to multi-point supply and seeks to have Clause 4.9 (Parts A and B) of the Electricity Supply Code (13th Amendment), 2018 declared ultra vires Section 183 of the Electricity Act, 2003 and the Electricity (Removal of Difficulties) Eighth Order, 2005, the Court records that the matter requires consideration, issues notice to the Advocate General and to respondent no. 5, calls for counters, and connects the writ with Writ-C No. 4545 of 2019 (M/s Maxblis Construction Pvt. Ltd.). Earlier listings had only granted time for a supplementary affidavit on an unsubstantiated plea that handover to the apartment owners' association under the U.P. Apartment Act, 2010 ended the promoter's liability for conversion cost. Clause 4.9 and the demands are not decided.

FACTUAL SUMMARY

M/S New Mount Trading And Investment, a private builder/colonizer of multi-storey residential towers, applied on 19 November 2011 for 1900 KVA at Araj No. 1281, Barai Akbarpur Bangar, Indra Nagar, Kanpur. Load was first sanctioned on a multiple-point basis. After a 1 August 2013 No Objection Certificate from the Director, Electrical Safety, Lucknow, the approval was converted to single-point supply of 500 KW, and the petitioner arranged a single-point meter under then-Clause 4.9(A) of the U.P. Electricity Supply Code, 2005.

KESCO later issued demand notices dated 9 July 2019, 9 October 2019 and 3 February 2020 for conversion from single-point to multi-point after the Electricity Supply Code (13th Amendment), 2018 of 10 August 2018, which the petitioner says scrapped single-point supply even for completed and ongoing projects. The writ sought to quash those demands, restrain implementation of Clause 4.9 (Part-B) to the project, and declare Clause 4.9 (Parts A and B) of the amendment ultra vires Section 183 of the Electricity Act, 2003 (pleaded as the "Electricity Supply Code, 2003") and the Electricity (Removal of Difficulties) Eighth Order, 2005. On 23 November 2020 counsel also submitted that the apartment had been handed over to Kanha Shyam Apartment Owners Welfare Association under the U.P. Apartment Act, 2010, so the promoter was not liable for conversion cost; the Court found nothing on record to substantiate that.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.9

vires challenge to amended Clause 4.9 and KESCO conversion demands; notice issued and connected with Maxblis; not decided

QUESTION

Whether Clause 4.9 (Parts A and B) of the Electricity Supply Code (13th Amendment), 2018, and KESCO's consequent demands for conversion from single-point to multi-point supply, can be enforced against a builder whose project was converted to single-point supply under the pre-amendment Code?

HOLDING

Not decided on merits. After recording the challenge to demand notices dated 9.10.2019, 9.7.2019 and 3.2.2020 and to Clause 4.9 (Parts A and B) of the 13th Amendment as ultra vires Section 183 of the Electricity Act, 2003 and the Electricity (Removal of Difficulties) Eighth Order, 2005, the Court held that the matter required consideration, issued notice to the Advocate General and respondent no. 5, granted time for counters and rejoinder, and connected the writ with Writ-C No. 4545 of 2019 (M/s Maxblis Construction Pvt. Ltd.). No stay was granted. Clause 4.9 was not construed. ¶ 3

QUALIFIER

Interlocutory (27.1.2021, Pankaj Naqvi, J. and Piyush Agrawal, J.). Writ remains pending.

FLAG Unnumbered order-sheet of three dates treated as paras 1–3: 23.11.2020 (Sunita Agarwal, J. and Jayant Banerji, J.; one week for a supplementary affidavit), 10.12.2020 (same bench; adjournment), 27.1.2021 (Pankaj Naqvi, J. and Piyush Agrawal, J.; notice and connect). Coram is the 27.1.2021 bench. Petitioner pleaded 'Section 183 of the Electricity Supply Code, 2003'; that is a slip for Section 183 of the Electricity Act, 2003 (power to remove difficulties), the parent of the Eighth Order of 2005 also invoked. Catalog hits on Clauses 6.1, 6.10, 6.12, 6.14, 6.15, 16.1.4, CGRF-2007::6.10 and UP-2002 are false positives — only Clause 4.9 of the 13th Amendment and the conversion demands are in issue.

PRINCIPLE TAGS

amended-clause-4.9-multi-point-release-mandate-2018 The builder challenged Clause 4.9 (Parts A and B) of the 10.8.2018 13th Amendment, said to have obliterated single-point supply even for completed and ongoing projects, and KESCO's conversion demands; the Court issued notice and connected the writ with leading Writ-C No. 4545 of 2019 without construing the amendment. ¶ 3

clause-4.9-single-point-to-multipoint The project was first sanctioned 1900 KVA on multiple-point metering, later converted to 500 KW single-point under then-Clause 4.9(A); the writ attacks post-amendment demands to reconvert to multi-point. The conversion regime was not adjudicated. ¶ 3

procedural-listing-no-construction After time for a supplementary affidavit and an adjournment, the Court issued notice, called for counters, and connected the writ with Maxblis Writ-C No. 4545 of 2019; Clause 4.9 and the demands remain unadjudicated. ¶ 1-3

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER CLAUSE 4.9 (PARTS A AND B) OF THE ELECTRICITY SUPPLY CODE (13TH AMENDMENT), 2018 IS ULTRA VIRES SECTION 183 OF THE ELECTRICITY ACT, 2003 AND THE ELECTRICITY (REMOVAL OF DIFFICULTIES) EIGHTH ORDER, 2005

Raised in the prayers; the Court held only that the matter required consideration, issued notice to the Advocate General, and connected the writ with Writ-C No. 4545 of 2019. ¶ 3

NOT DECIDED — WHETHER THE DEMAND NOTICES DATED 9.7.2019, 9.10.2019 AND 3.2.2020 FOR CONVERSION FROM SINGLE-POINT TO MULTI-POINT SUPPLY ARE LIABLE TO BE QUASHED, AND WHETHER KESCO MAY IMPLEMENT CLAUSE 4.9 (PART-B) AGAINST THIS PROJECT

Prayers (i) and (ii); no stay and no merits ruling. ¶ 3

NOT DECIDED — WHETHER HANDOVER OF THE APARTMENT TO KANHA SHYAM APARTMENT OWNERS WELFARE ASSOCIATION UNDER THE U.P. APARTMENT ACT, 2010 ENDED THE PROMOTER'S LIABILITY FOR THE COST OF CONVERSION FROM SINGLE-POINT TO MULTI-POINT SUPPLY

Raised on 23.11.2020; the Court found nothing on record to substantiate it and granted a week for a supplementary affidavit. Never decided on this source. ¶ 1